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ON Semiconductor Corp. | North America

Analyst Day Outlines a Platform Strategy for Power Devices

Updated long-term financial guidance was broadly in-line vs prior targets, with topline CAGR in particular coming in above. ON expects to benefit from its investments across end markets and platforms, including its newly debuted Embedded Power Platform.

Key Takeaways

- Revenue CAGR updated to 12-14% vs 10-12% prior, GM% unchanged at 53%, OPM % slightly lower to 38% from 40% to fund R&D, FCF up to 30-35% vs 25-30% prior.
- Data center guidance laid out for 2027 at 2x vs 2026, implying \$1bn of AIDC revenue in 2027.
- Debuted new Embedded Power Platform (EPP), enabling more integrated, higher-density power solutions.

The main focus of the Analyst Day was ON's evolving power strategy across automotive, industrial and data center, while the long-term financial targets were broadly in-line with prior. ON's updated topline revenue CAGR from 2026-2030 was revised up to 12-14% from 10-12% prior, while gross margin was unchanged at 53%. Operating margin came down by 2 points to 38%, driven directly by an increase in R&D spend from 13% to 15%, while free cash flow came up to 30-35% from 25-30%.

The CEO focused on the changing needs of power semis across all of the end markets, with the most notable change on the data center side and improved power density a common theme across all three. Several of the company's historical acquisitions have been to bring together a broad set of capabilities that will be needed for advanced power, and with the company migrating to a platform approach through Treo and now the "embedded power platform" (EPP) - described below - ON can increasingly move from selling individual components of power systems to being an integral part of the solution. While to us not every problem in power will be solved by these platforms, the breadth of the company's solutions is notable.

New Embedded Power Platform (EPP) debuted. The new "embedded power platform" has the potential to be important - and differentiating. The technology actually uses the silicon wafer to embed heterogeneous die - including SiC and GaN die - delivering superior inductance and thermal performance, and solving some important challenges in the power space. Other approaches to integrated power designs use embedded printed circuit board technology, which is not as good on thermal performance, or other bulky lead frames. Of course, such claims need to be

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ON Semiconductor Corp. (ON.O, ON US)

Semiconductors | United States of America

Stock Rating	++
Industry View	Attractive
Price target	++
Shr price, close (Sep 16, 2026)	\$66.60
Mkt cap, curr (mm)	\$27,395
52-Week Range	\$134.92-44.56

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	2.35	3.19	4.42	5.76
Prior EPS (\$) **	-	-	-	-
P/E	23.1	20.9	15.1	11.6
EPS (\$) §	2.33	3.20	4.55	6.03
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
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QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.55	-	0.64a	-	0.93
Q2	0.53	-	0.74a	-	1.04
Q3	0.63	-	0.88	-	1.20
Q4	0.64	-	0.93	-	1.25

e = Morgan Stanley Research estimates, a = Actual Company reported data

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substantiated, but intuitively this looks like a very interesting approach that could potentially drive a long-term advantage for ON.

New targets for AI Data Center. ON guided to doubling y/y in 2027 off an unchanged "more than doubling" 2026 base, implying ~\$1bn of AI data center revenue in 2027. For 2028 and beyond, ON guided to industry growth of +10%, implying a ~50% revenue CAGR through 2028 based on current estimates. ON's AI data center business has grown materially over the last couple of years, from immaterial revenue to >\$250mn in 2025, with an implied >\$500mn revenue figure for 2026, and while the broader 800V data center transition roadmap may fluctuate, ON's data center story remains driven primarily by content growth rather than unit growth. The company's content per rack increases from ~\$15k in today's racks to ~\$115k as racks approach 1MW, representing an ~8x increase, with the opportunity spanning SiC/vGaN, its new 800V-to-6V/12V conversion solution and EPP-based power solutions across the rack.

Automotive and Industrial targets unchanged. Auto guidance remains at +9% above SAAR with Industrial at +10% CAGR. While the relative growth targets did not move, both remain dependent on the underlying market backdrop, with the more interesting change coming from a broader content opportunity underneath those targets. In **auto**, ON's content per car increased to up to ~\$2,000 from \$1,600+ previously, with the opportunity broadening beyond SiC across electrification, ADAS and zonal architecture, including new EPP-based traction inverter solutions and higher sensing/networking content.

Industrial remains a mix of more traditional GDP+ markets and faster-growing secular businesses, with the latter now ~60% of the segment and expected to grow double digits. A key incremental driver is the AI halo, as data center power demand drives additional spending in areas like grid upgrades, solid-state power conversion and energy infrastructure. The newer piece is physical AI, where ON introduced a ~\$6bn TAM by 2030, excluding automotive, with humanoids representing one emerging opportunity at up to ~\$900 of content per system.

Synaptics synergies reiterated. The pending transaction adds ~\$30bn of TAM, while Synaptics standalone is expected to grow >15% post-synergies, with ~\$200mn of annualized run-rate synergies over the first 18 months and non-GAAP EPS accretion expected within that period.

Exhibit 1: New 2026-2030 Financial Targets

Technology Leadership Powers Shareholder Value onsemi			
Non-GAAP	2025A	2026E	2027 TARGET
Revenue	\$6.0B	\$6.5B	+12-14% CAGR
Gross Margin	38.4%	40.3%	53%
Operating Expenses	19.8%	18.5%	15%
Operating Margin	18.6%	21.9%	38%
CapEx	5.7%	2.7%	~5%
Free Cash Flow	23.7%	24.8%	30-35%

Non-GAAP (as rate remains at 15% through 2025)

Source: Company Data.

Exhibit 2: Prior Financial Targets

Accelerating the Financial Model			
	2022 Actual	2027 Target	
Revenue	\$6.3B	10-12% CAGR	• Grow at ~3x the semiconductor industry
Gross Margin	49.2%	53%	• Mix with new products & R&D costs at accretive margins
Operating Expenses	14.6%	13%	• Customer and through full stack
Operating Margin	34.7%	40%	• Invest in R&D for long-term growth
CapEx	12%	11%	• Digital First: embrace new technologies & data science
Free Cash Flow	20%	25-30%	• Grow Operating Income faster than revenue
			• Market across Africa investments
			• High R&D leveraged investments
			• \$1.5-1.8B of Free Cash Flow in 2027
			• Return 30% to shareholders

Non-GAAP (as rate remains at 15% through 2025)

Source: Company Data.

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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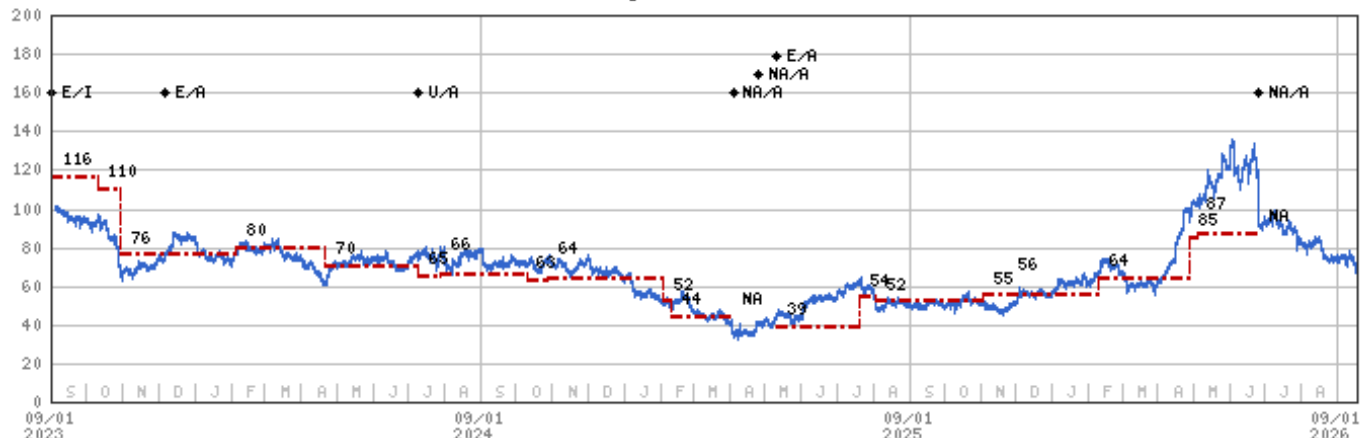
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ON Semiconductor Corp. (ON.O) - As of 09/17/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 9/1/21 : E/I; 12/7/23 : E/A; 7/10/24 : U/A; 4/4/25 : NA/A; 4/25/25 : NA/A; 5/11/25 : E/A; 6/25/26 : NA/A

Price Target History: 8/3/21 : 42; 11/1/21 : 58; 12/14/21 : 62; 2/7/22 : 68; 5/1/22 : 60; 6/9/22 : 56; 8/1/22 : 65; 10/31/22 : 70.4; 2/6/23 : 89; 7/31/23 : 116; 10/10/23 : 110; 10/30/23 : 76; 2/5/24 : 80; 4/21/24 : 70; 7/10/24 : 65; 7/29/24 : 66; 10/10/24 : 63; 10/28/24 : 64; 2/3/25 : 52; 2/10/25 : 44; 4/4/25 : NA; 5/11/25 : 39; 7/21/25 : 54; 8/4/25 : 52; 11/3/25 : 55; 11/24/25 : 56; 2/9/26 : 64; 4/27/26 : 85; 5/4/26 : 87; 6/25/26 : NA

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/16/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$512.50
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$14.40
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$33.02
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$62.77
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$46.28
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$362.04
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$269.18
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$339.51
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$190.47
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$43.03
Intel Corporation (INTC.O)	E (02/22/2023)	\$101.05
IonQ Inc (IONQ.N)	E (04/25/2023)	\$36.84
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$229.71
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$69.59
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$926.55
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$10.48
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$213.90
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$218.98
ON Semiconductor Corp. (ON.O)	++	\$66.60
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$113.97
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$184.84
Quantinuum (QNT.O)	E (06/29/2026)	\$52.01
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,519.97
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$167.55
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$219.71
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$85.59

Texas Instruments (TXN.O)	U (04/13/2020)	\$260.67
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$23.67
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$243.98
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$279.90
PDF Solutions Inc (PDFS.O)	O (09/08/2026)	\$41.97
Synopsys Inc. (SNPS.O)	O (09/08/2026)	\$378.47

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* Historical prices are not split adjusted.